

POLICYREADY • ARIZONA

How to Open a **Developmental Home** Business in Arizona

Arizona's host-home model for adults with developmental disabilities

Step by Step

*From “where do I start?” to your first payment —
whether you go through a licensing agency, or build your own.*

A complete, plain-language guide for real people — not lawyers or consultants.

Figures current for 2026 • Verify all details with the State of Arizona.

Read this first

This is a plain-language roadmap built from Arizona's actual rules, agencies, and rate book. It is not legal, tax, or billing advice, and the details change — rates, fees, codes, and regulations update regularly. Before you act, confirm the current specifics with DES/DDD, AHCCCS, your licensing agency, an attorney, an accountant, and an insurance broker. Every rule and citation here is real and pulled from the state's own sources — but always check the current version before you rely on it.

What this guide covers

- Part 0 — The big picture: what an Adult Developmental Home is, who the players are, and the two ways in.
- Part 1 — Path A: becoming a licensed provider through a contracted licensing agency (the fastest way).
- Part 2 — Path B: becoming your own Qualified Vendor and billing AHCCCS/DDD yourself.
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house actually needs (sprinklers, exits, the life-safety checklist).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: the rate structure, the billing system, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Phoenix & Tucson worked out).

PART 0

The Big Picture

Opening a developmental home in Arizona is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

What an Adult Developmental Home actually is

An Adult Developmental Home (ADH) is a licensed family home where a trained caregiver provides full-time care and supervision for up to three adults with developmental disabilities. It's Arizona's version of a host home. Services include room and board, habilitation (support and skill-building), and personal care, in the caregiver's own home. Child Developmental Homes serve members under 18; Adult Developmental Homes serve ages 18 and over.

The players — learn these names, you'll deal with all of them

- DES / DDD — the Arizona Department of Economic Security, Division of Developmental Disabilities. DDD is both the regulator and, for most DD members, the health plan that pays you.
- AHCCCS / ALTCS — Arizona's Medicaid agency (AHCCCS) and its long-term care program (the Arizona Long Term Care System). The people you serve must be DDD- and ALTCS-eligible.
- OLCR — the Office of Licensing, Certification and Regulation. It licenses developmental homes and runs the life-safety home inspection.
- Support Coordinator — the DDD case manager who writes each member's Planning Document and coordinates services (Arizona's version of a case manager).
- Contracted licensing agency — a private agency that licenses and supports developmental home providers on DDD's behalf (your teammate on Path A).
- Qualified Vendor — an agency contracted directly with DDD to provide and bill for services (Path B).

The fork in the road — there are two ways in

This decides everything, so understand it before you spend a dollar.

- Path A — Become a licensed developmental home provider through a contracted licensing agency. The agency licenses you, supports you with monthly visits, matches you with a person, handles the DDD billing, and pays you (usually twice a month). You provide the home and the care. Fastest, lowest-risk — this is how almost everyone should start.
- Path B — Become your own Qualified Vendor with DDD. You build the company, get an HCBS certificate, enroll with AHCCCS, contract directly with DDD, and license and oversee your own developmental homes. A much bigger lift — but it's the real business, with more control and revenue.

PART 1 • PATH A

Become a Licensed Developmental Home Provider

Start here. You can always grow into your own agency later.

Step 1 — Make sure it fits your life

A developmental home means an adult with a developmental disability lives in your home, with you, and you support them through everyday life. You must be lawfully present in the U.S. and live in Arizona, be able to provide a caring home with enough bedroom space, and have the income and transportation to meet your family's needs. You can serve up to three adults, though many providers start with one. Everyone 18+ in the household is part of the background check — so this is a family decision.

Step 2 — Contact a contracted licensing agency

On this path you don't apply to the state yourself — you partner with a DDD-contracted licensing agency. Think of them as your teammate: they license you, train and support you with monthly home visits, match you with a person, handle DDD billing, and pay you. Interview more than one; ask how they support providers, how often they place people, and how and when they pay. (See Part 8 for a starting list.)

Step 3 — Pass the background checks

Everything here comes back to protecting a vulnerable person. You and all adults in the home must obtain a Level One Fingerprint Clearance Card and pass a Department of Public Safety (DPS) criminal background check and an Adult Protective Services (APS) registry check. You'll also submit a physician's statement (and any required medical tests) and provide at least three references who are not related to you. If you're worried about something in your past, ask your agency early.

Step 4 — Pass the life-safety home inspection

OLCR inspects your home for safety before licensure and every three years after. See Part 4 for the full checklist — the inspection is 'not a white-glove test,' the focus is on safety, and you can often fix small issues on the spot.

Step 5 — Complete your training & home study

You'll complete DDD-required training (including CPR/First Aid and Article 9 behavior and rights topics) and a home study interview. Your agency points you to the classes and walks you through the home study.

Step 6 — Get matched and welcome your resident

Your agency and the DDD Support Coordinator match you with a person whose needs fit your home. You'll sign a Developmental Home Agreement that spells out what you, the agency, and the State each agree to. Take the match seriously — a good fit is what makes this sustainable.

Step 7 — Put your policies in writing

Your policies and procedures — medications, emergencies, incident reporting, behavior support, and the rights of the person you serve — must be documented. This is exactly what PolicyReady's Arizona developmental home manual is built for: ready to customize, just add your details.

Step 8 — Live it, document it, get paid

Follow the person's Planning Document and keep good records. Your agency's team monitors your home for compliance and supports you. On this path, the agency bills DDD and pays you a daily rate — usually twice a month by direct deposit — for the days the person is in your home. That first payment is the moment it all clicks.

PART 2 • PATH B

Build Your Own Agency (a Qualified Vendor)

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business

- Form your entity (usually an LLC) with the Arizona Corporation Commission.
- Get your EIN/FEIN from the IRS (free).
- Get a Type 2 (organizational) NPI through NPPES (free) — DDD claims are rejected without your NPI on file with AHCCCS.
- Open a business bank account and set up bookkeeping.

Step 2 — Become a Qualified Vendor with DDD

Apply to become a DDD Qualified Vendor (respond to DDD's Request for Qualified Vendor Applications). Once approved and contracted, you can provide developmental home and related services.

Step 3 — Get your HCBS certificate (OLCR)

All Qualified Vendors must obtain and maintain a Home and Community Based Services (HCBS) Certificate through OLCR, completed in the Focus system (A.A.C. R6-6-1501 et seq.). This confirms your agency and staff meet the qualification and training requirements.

Step 4 — Register with AHCCCS

Register with AHCCCS to obtain an AHCCCS Provider Identification Number before providing services (for developmental home / habilitation, this is Provider Type 39). You cannot bill without it.

Step 5 — Insurance & infrastructure

Carry the liability and other insurance your contract and services require (use a broker who knows human-services agencies), and put your policies and procedures in place (PolicyReady manuals).

Step 6 — License and oversee your developmental homes

Recruit, screen, and license your developmental home providers — fingerprint clearance cards and background checks on everyone 18+, physician statements, references, life-safety inspections on each home, and ongoing monthly monitoring — the same standards described on Path A.

Step 7 — Take members, deliver services, and bill

Accept referrals through DDD Support Coordinators (members must be DDD/ALTCS eligible), place them, and bill DDD through the WellSky claims system (or CMS 1500). This is the finish line — covered in Parts 5 and 6.

PART 3

Who You Actually Need (Staffing)

On Path A (you're the developmental home provider): you don't build a staff. At most you line up approved alternative caregivers (respite) — trained in CPR and First Aid and approved by the guardian, Support Coordinator, and your agency — so the person is never without support when you need a break. Respite funding is built into your rate. The licensing agency provides the oversight, training, and billing.

On Path B (you're the Qualified Vendor), plan for these roles — one person can wear several hats at the start:

- Administrator / owner — runs the agency, owns compliance and the DDD contract.
- Licensing & support staff — license developmental homes, do monthly monitoring visits, and support providers (the roles a 'developmental home team' fills).
- Registered Nurse — for health oversight and medication support, often part-time or contracted at the start.
- Billing / administrative support — submits WellSky claims and tracks authorizations and payments; many small agencies outsource this at first.
- Developmental home providers — your licensed caregivers, each screened, trained, and in an inspected home.

Staffing and qualification requirements come from your Qualified Vendor contract and A.A.C. Title 6 — confirm your specifics with DDD/OLCR.

PART 4

The Home: What Your House Actually Needs

The one thing to understand first

A developmental home is inspected as a private residence, not as a medical facility. OLCR runs a life-safety inspection of your home — and, in their words, it is 'not a white-glove test; the focus is on safety.' That's why you can open a developmental home in an ordinary house, and why you generally do not need commercial fire suppression or a facility license.

“Do I need fire sprinklers?” — the question everyone asks

Generally no. An adult developmental home is a private residence and is not required to install a commercial sprinkler system; sprinklers are a feature of larger licensed group homes and residential care facilities, not a family developmental home. Confirm anything unusual with your licensing agency and your local building department — but for a normal existing home, you're looking at alarms, extinguishers, and safe exits, not sprinklers.

THE LIFE-SAFETY CHECKLIST (A.A.C. R6-6-1111 AND THE OLCR LIFE-SAFETY RULES)

- At least one working smoke detector in each bedroom and on each level of the home.
- Carbon-monoxide alarms near the bedrooms (kept away from fuel-burning appliances per the manufacturer).
- A working fire extinguisher (2A:10BC) on each level.
- Two exits from the home; bedrooms used for care must have a usable, unobstructed exit to the outside; all exits kept clear; locks with quick-release.
- A written emergency evacuation plan.
- Hot water in bathing areas does not exceed 120°F (anti-scald).
- Toxic, poisonous, and hazardous materials in locked storage; medicines in separate locked storage.
- Firearms in locked storage, with ammunition locked separately.
- Bedrooms have light, ventilation, comfortable temperatures (65–85°F), and safe, private sleeping arrangements.
- Safe electrical (no exposed wiring, no permanent extension cords), safe appliances, and a metal (non-flammable) clothes-dryer vent.
- Clean and sanitary — safe drinking water, working plumbing, garbage removed weekly, no infestation.

INSPECTION TIMING & A MOBILE-HOME NOTE

- The home is inspected before initial licensure and every three years after (the inspection typically takes 30–45 minutes).
- Special rule: developmental homes in mobile homes must pass an annual fire-safety inspection and keep skirting intact.
- If you build an addition, remodel, or add a pool or spa, notify DDD first and cooperate with any required inspection.

Two more housing things that trip people up

- Zoning — “can I even do this in my neighborhood?” Homes for people with disabilities are protected as a residential use under the federal Fair Housing Act, so a developmental home is generally allowed in

residential zones like any family home. Still, call your city or county planning office to confirm and check any local rules.

- Rent vs. the payment. Your daily rate has a room-and-board part (for household costs) and a habilitation part (for care) — it is paid to you for supporting the person. The member's own income (such as SSI) generally goes toward their share of room and board; don't confuse the two when you budget.

PART 5

Getting Your First Person Placed

You can't get paid until someone is living with you. Here's how that happens.

1. The member qualifies. To live in a developmental home, the person must be found eligible for DDD and enrolled in ALTCS (Arizona's Medicaid long-term care program). DDD determines eligibility.
2. The Support Coordinator builds the plan. The DDD Support Coordinator develops the member's Planning Document, which spells out the services and supports authorized — and that drives what the home provides and how it's paid.
3. The match. Your licensing agency (Path A) or your agency (Path B) works with the Support Coordinator to match a person whose needs and personality fit your home.
4. Sign the Developmental Home Agreement. This agreement among you, the agency, and the State spells out the placement expectations — what each party agrees to.
5. Move-in. Once the person moves in and you're providing services, you have a billable placement.

PART 6

How You Get Paid: Rates, Billing & Your First Payment

How the rate works

A developmental home provider is paid a daily rate for each day the person is present in the home. The rate has two built-in parts: a room-and-board component (for household costs like groceries and hygiene supplies) and a habilitation component (for the support and skill-building you provide). Respite (alternative-caregiver) funding is also built into the rate, so you can arrange approved breaks. On Path A, the licensing agency pays you — commonly twice a month by direct deposit.

A real tax benefit worth knowing: developmental-home payments for care in your own home are frequently treated as non-taxable 'difficulty-of-care' income under IRS rules. This can be a meaningful advantage — confirm your situation with a tax professional.

How much — and why it varies

Arizona doesn't use a single flat number. Developmental home / habilitation daily rates are set in the DDD Rate Book and vary by the amount of support the member is authorized to receive (a staffing 'range' of weekly direct-service hours), the number of residents in the home, and some geographic adjustments. Look up the current figure for your situation in the DDD Rate Book or the Division Rate Lookup File (des.az.gov → DDD → Rates, Authorizations & Billing) before you build a budget.

Why the rate changes — and why you must check today's number

- Who controls it: AHCCCS (as Arizona's Medicaid agency) and DDD set the rates; the money is funded by the Arizona Legislature through the state budget.
- Why it moves: rates are re-issued in the Rate Book roughly every year (often effective January 1, with mid-year revisions), and vendor rate increases follow state budget decisions and market conditions.
- The takeaway: state rates change, so always confirm the current rate in the DDD Rate Book — or ask your licensing agency — before you plan around it.

The billing system & your first payment

6. Confirm the authorization. The member's Planning Document and DDD authorization set what you can bill. Make sure it matches what you're providing.
7. Deliver and document daily. Keep service records and note the days the person is present — you bill only for days the member is actually in the home.
8. Submit the claim. Qualified Vendors bill DDD through the WellSky claims system (live since September 2022), or submit a CMS 1500 form. Your AHCCCS Provider ID and NPI must be on the claim or it is rejected. (On Path A, your agency does this and pays you.)
9. Get paid — and never balance-bill. DDD pays the claim; ALTCS members can never be billed for covered services or co-pays. Questions? DDD Provider Relations: 1-844-770-9500.

Two truths that save new providers: (1) you bill only for days the person is actually in your home; and (2) an ALTCS member owes \$0 — never ask the member or family to pay for a covered service.

PART 7

What It Costs & How Long It Takes

Timeline

Getting licensed as a developmental home provider usually takes about three to six months, depending on your availability and how quickly you complete each step (references, fingerprinting, training, home study, and the life-safety inspection). The license is good for one year and must be renewed annually.

Startup line items

Path A is inexpensive — mostly your time, fingerprint clearance card fees, training, a physician's statement, and getting your home ready to pass the life-safety inspection (alarms, extinguishers, safe storage, minor fixes). Path B adds business formation, an NPI (free), the Qualified Vendor and HCBS certification process, AHCCCS registration, insurance, and your policies and procedures. Confirm current fees with DDD/OLCR and AHCCCS.

PART 8

When They Say “Check Locally”: Who to Call & What to Ask

Some things are handled by the State (DDD/OLCR), some by your licensing agency, and some by your local city or county (zoning). Here's who to call and exactly what to ask, so you get a straight answer instead of getting bounced around.

The statewide offices (same for everyone)

For...	Contact
Developmental home licensing (OLCR)	DDD OLCR — (602) 771-4861 · DDDOLCR@azdes.gov
HCBS certification (Qualified Vendors)	HCBScertification@azdes.gov
Member / DDD eligibility	DDDApply@azdes.gov
Billing, claims & rates (Provider Relations)	(844) 770-9500 · des.az.gov → DDD → Rates, Authorizations & Billing
AHCCCS fee-for-service rate questions	FFSRates@azahcccs.gov
Find a contracted licensing agency	des.az.gov → DDD → Developmental Home Licensing

Contracted licensing agencies (Path A — a starting list)

These are examples; DDD keeps the full current list. Call a few and compare how they support and pay providers.

Agency	Area (examples)	Phone
Family Partners	Phoenix metro & statewide	(602) 997-8300
Clarvida (Developmental Home Program)	Phoenix metro & statewide	(602) 433-1344 · (888) 433-1344

The local calls — and what to ask on each one

① A CONTRACTED LICENSING AGENCY — YOUR MOST IMPORTANT FIRST CALL (PATH A)

- “I want to become an adult developmental home provider. Can you walk me through your licensing process, and how long it takes?”
- “How do you match providers with a person, and how soon are you placing people?”
- “What is the daily rate, how is it set, and how and when do you pay — and is any of it non-taxable?”

② CITY OR COUNTY PLANNING / ZONING — “CAN I LEGALLY RUN A DEVELOPMENTAL HOME HERE?”

- “I want to open an adult developmental home — a residence where up to three adults with developmental disabilities live with me and receive support. Is that an allowed residential use at [address]?”
- “Are there any occupancy limits or local rules I should know about? Can you confirm in writing?”
- If they hesitate: homes for people with disabilities are protected as a residential use under the federal Fair Housing Act — ask them to point to the specific code.

③ BUILDING DEPARTMENT — ONLY IF YOU'RE REMODELING

- “I have an existing home I'll use as a developmental home for up to three adults. If I'm not changing the structure, do I need any permits?”
- “If I add a bedroom, bathroom, pool, or spa, what permits and inspections apply?” (Remember: DDD's OLCR does the life-safety inspection of the home itself.)

Fully worked examples — Arizona's two biggest metros

Most people live in or near one of these two, so each one's real call list is done for you below. If you're elsewhere, use these as a template.

PHOENIX (MARICOPA COUNTY)

- Licensing agencies: Family Partners (602) 997-8300; Clarvida (602) 433-1344.
- Zoning & building: City of Phoenix Planning & Development Department — (602) 262-7811; applications through the SHAPE PHX portal (shapephx@phoenix.gov).
- The life-safety inspection of your home is done by DDD OLCR (602) 771-4861 — not the city.
- The local quirk here: Phoenix runs one combined Planning & Development Department for both zoning and building permits.

TUCSON (PIMA COUNTY)

- Zoning & building: City of Tucson Planning & Development Services Department (PDSD) — handles zoning, permits, and inspections through its online portal; call Tucson's main line and ask for Planning & Development Services (Zoning Administration for use questions).
- If your address is in unincorporated Pima County (not city limits), contact Pima County Development Services instead.
- As in Phoenix, DDD OLCR (602) 771-4861 performs the home's life-safety inspection.
- The local quirk here: first confirm whether your address is inside the City of Tucson or in unincorporated Pima County — they're different offices.

How to find your own city or county's numbers

10. Start with your licensing agency — they know the local landscape.
11. For zoning, search “[your city] AZ planning and development” or “[your county] AZ development services,” or call your city/county main line and ask for Planning/Zoning.
12. Not sure who covers you? Call 2-1-1 Arizona and ask.

CORE RULES & REFERENCES

- A.A.C. Title 6, Chapter 6, Article 11 (R6-6-1101 et seq.) — Adult Developmental Home License; R6-6-1111 — Health & Safety Standards.
- A.A.C. Title 6, Chapter 18, Article 7 (R6-18-701 et seq.) — Life-Safety Inspection standards.
- A.A.C. R6-6-1501 et seq. — HCBS Certification for Qualified Vendors.
- DDD Rate Book & Division Rate Lookup File — current rates and HCPCS codes (via AHCCCS/DDD).

You can do this.

Opening a developmental home is real work — but it's a real, walkable path, and people across Arizona do it every day. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start the fast way through a licensing agency or build your own, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your licensing agency and your DDD Support Coordinator — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Arizona DES/DDD, AHCCCS, and OLCR rules and the Arizona Administrative Code as of 2026.

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